

B I R C H

ink
ADVISORY

РУСАУДИТ

Acquisition of a Business: Getting a Successful Deal Done and Avoiding Pitfalls

Ararat Park Hyatt Moscow
Library Hall

October 15, 2025

Selected points from
the business breakfast



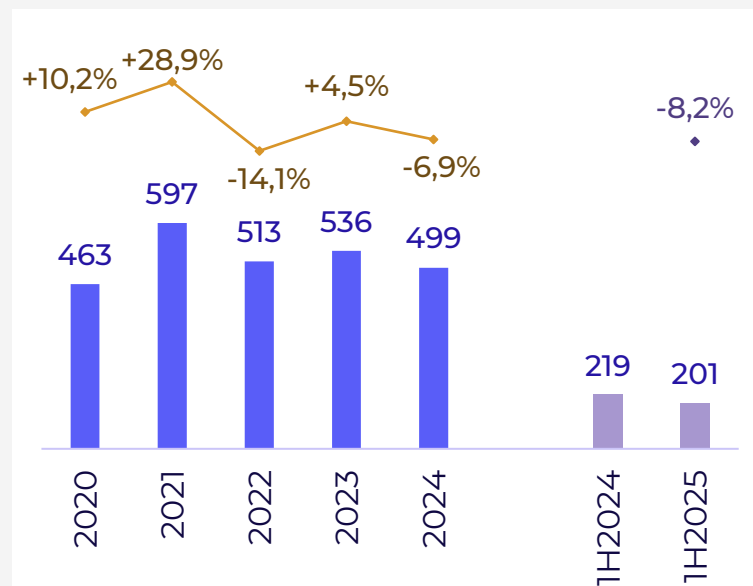
Image generated by AI based on SUPER MARIO BROS.
Trademark rights, images of characters and scenes from the game belong to Nintendo Company Limited.

M&A IN RUSSIA: LIFE GOES ON

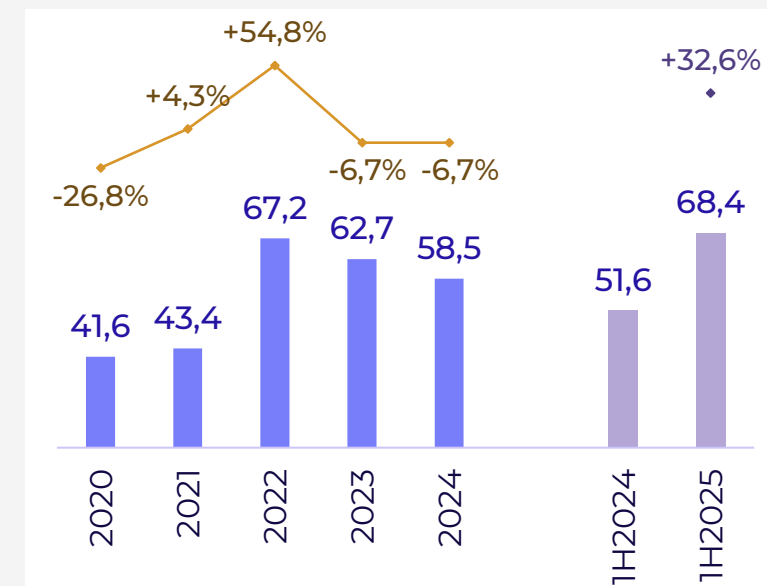
Volume of M&A Transactions, USD Billion



Number of M&A Transactions



Average Value of Transactions, USD M



Source: Information agency "AK&M" (<https://mergers.akm.ru/>)

General Characteristics of the Market

- M&A remains an important tool for growing Russian businesses.
- Life goes on: the impact of geopolitical and economic shocks on M&A deals is short-term
- In 2025, a slight cooling of M&A activity can be observed, but interest in M&A remains high, with growth expected in 2026

Factors Contributing to Increased Interest in M&A on the Sell-side:

- Demand for products and services is declining in many markets
- Changes to the Russian Tax Code from 2026 and rising costs
- Slowing pace of reduction of CB rate, high interest
- The end result is a reduction in margins and an increase in risks (psychological pressure to sell)

Factors Contributing to Increased Interest in M&A on the Buy-side:

- Slowing revenue growth (organic growth)
- The option of creating new production capacities is becoming more expensive (machinery, construction and operations until breakeven)
- High interest rates make it critical to start receiving immediate returns on investment
- Noticeable dip in valuation multiples

M&A DEALS: BUYER PROFILES

Opportunistic approach

Strategic approach

Rationale

Speculative income derived from buying a company at a minimum price and selling it at market value

Strengthening strategic positions in current markets, entering new markets, or improving the business model

Buyer

Buyers from outside the industry, often financial investors, and the price is the most important factor in negotiations by far.

Strategic Buyers: players in the same or related industry implementing their long-term strategy

Criteria for Assessing Deal Success

The difference between:

1. Purchase price and "fair" value - at entry
2. Selling price and buying price – at exit

Achieving strategic goals: market, financial and operational

The Buyer's main benefit is the growth in shareholder value

THE KEY TO SUCCESS IN M&A – SYSTEMATIC PREPARATION AND IMPLEMENTATION

Definition of a Success in M&A context:

Increase in the shareholder value of the acquiring company within 1-2 years after acquisition of the target company.

This implies:

- Concluding a transaction with minimal negative future consequences for the Buyer
- Achievement of the Buyer's operational and strategic objectives

70–75% of deals do not reach Buyer's target objectives, but this is not an argument for “not engaging in M&A”, but an argument for “doing things the right way”.

- Failure: getting the wrong deal done or doing the deal the wrong way
Reason: insufficient preparation of the Buyer's team and errors made during planning and implementation stages
- Failure: not getting the right deal done
Reason: errors made by the Buyer at various stages of the Deal that prevent the Deal from closing

Main Reasons for Failure in M&A (Buyer's Perspective)

1	No clear strategy	The Buyer enters into a deal without clear understanding of the goals and objectives. No connection between the acquisition and the Buyer's long-term strategy.
2	Inflated expectations and overvaluation	The Target's value is determined based on general data, without a thorough examination of operational and financial indicators, and without taking into account integration plan. Synergy calculations remain "on paper," and reality differs from the plans.
3	Limited Due Diligence	Financial, legal, tax and operational risks are checked superficially.
4	Poor quality of the SPA and accompanying legal documents	The terms of the SPA, options, and other legally binding agreements are not clearly defined and spelled out
5	Problems of cultural and operational integration	Lack of or insufficient preparation of a Day 1 plan and a roadmap for the first 100 days, poor communications

M&A TEAM AND ROLES (BUY-SIDE PERSPECTIVE)

Buyer

- Defining the strategic objectives of the transaction
- Formation of the concept of integration of the target company
- The transaction team, including a project leader with authority
- Determining funding sources

An M&A transaction is a complex project involving several parallel processes: strategy, finance, legal support, tax planning, due diligence, and integration. These processes require in-depth expertise and coordination.

A team of Buy-side consultants comprised of experts in various fields makes the complex process manageable and addresses key Buyer needs:

- **Speed and coordination:** ensures control over all processes and players in the transaction, internal (Buy-side teams) and external (Sell-side and the Target) communications;
- **Risk control:** prevents or minimizes overpayment, financial, tax and legal risks;
- **Focus on the essentials:** The Buyer controls the strategy, focuses on making decisions on key deal issues, preparing and implementing the Target integration plan.

Buy-side Advisors

M&A Advisor

- Launching and conducting negotiations with the Seller and Sell-side consultants
- Providing advice and comments to the Buyer at all stages of the deal
- Investment valuation of the Target
- Coordination of all processes and players

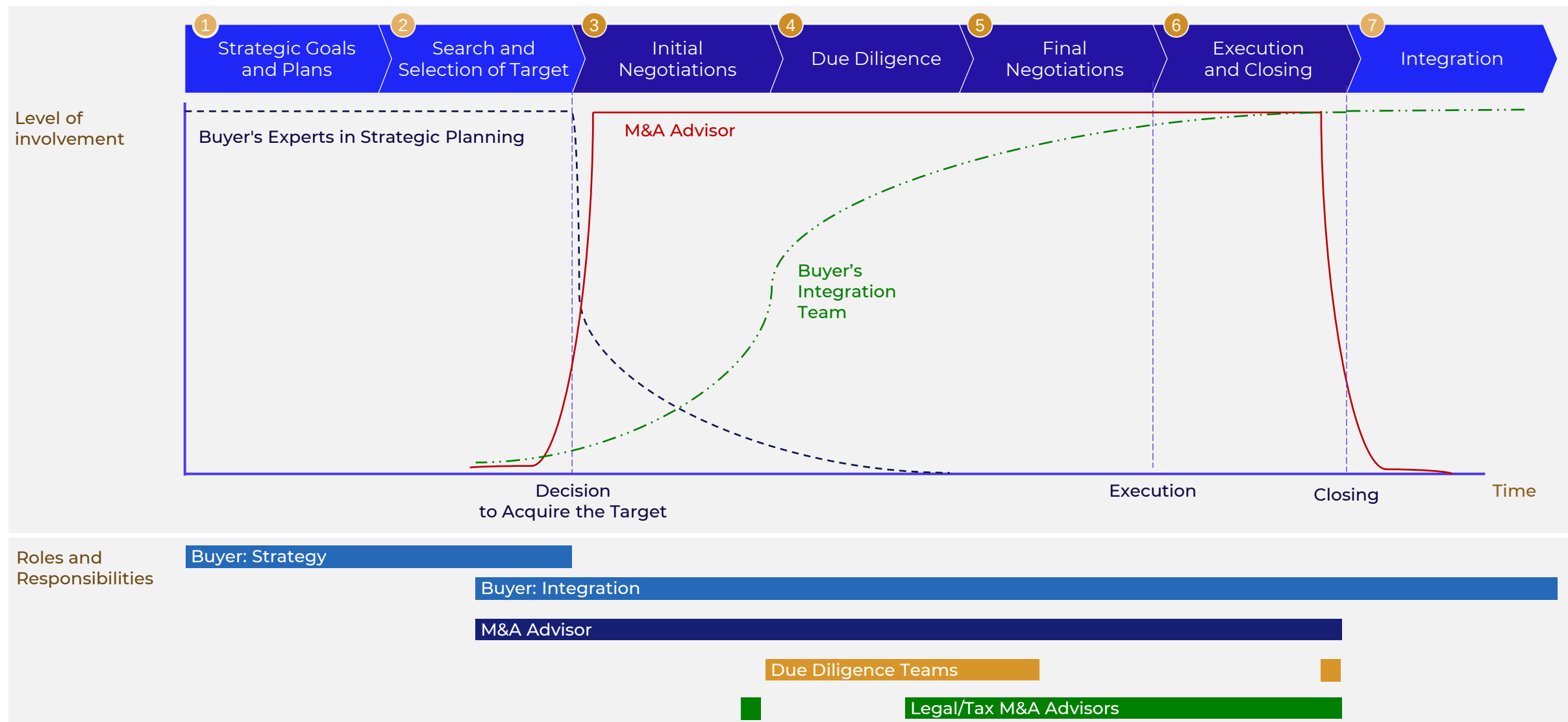
Legal/Tax M&A Team

- Legal analysis of corporate documents and Seller's powers
- Preparation of the SPA and other deal documents in accordance with the key terms of the transaction
- Adjustment of legally binding documents
- Organizing the signing of and the closing process

Due Diligence Teams

- Conducting a comprehensive study of the Target:
 - Financial Due Diligence
 - Tax Due Diligence
 - Legal Due Diligence
 - Other types of Due Diligence
- Identifying hidden risks

➤ All Teams synchronize their work, this allows the deal to be carried out efficiently, reduces the Buyer's risks, and makes the outcome more predictable



ABOUT THE HOSTS

BIRCH

A leading independent Russian law firm, founded in 1995 as ETL Law Offices, and until 2022 a member of Eversheds Sutherland, a leading global multinational legal practice.

BIRCH's core specialization is supporting complex transactions and protecting clients' interests in complex disputes.

BIRCH is a team of specialists with the resources to provide a full range of legal support services for businesses, ensuring international-level quality in resolving any issue.

BIRCH is recognized as a leading law firm by The Legal 500, Pravo 300, and Kommersant.

BIRCH is the official partner of Eversheds Sutherland in Russia, with offices in St. Petersburg, Moscow, and Astana.



BIRCH Telegram Channel:
Overviews of legislative changes, information on important news from the firm's life, and introductions to BIRCH lawyers



BIRCH Website



An investment banking firm founded in 2024 by a team with decades of professional experience in the US, CIS, and EU.

Prior to founding ink Advisory, the core team had been known in the investment market as the Lead Advisory division of Crowe (Rusaudit).

ink Advisory specializes in M&A transactions , joint ventures, capital raising, and corporate and private equity growth strategies .

ink Advisory serves international and local clients in the CIS countries from offices in Moscow and Tashkent .

Drawing on the team's decades of experience in international companies, funds, and banks, ink Advisory offers solutions that go beyond M&A advisory.



ink Advisory Telegram channel:
A guide to investment, strategy, and M&A for business owners and executives



ink Advisory Website



A leading audit and consulting firm founded in 1992 as Russaudit Dornhof, Evseev and Partners, and until 2022 a member of global audit and accounting networks.

Russaudit is one of the Top-8 audit and consulting firms in Russia and has been helping clients make the right decisions for over 33 years, leveraging the best practices gained over 25 years of membership in major global networks.

From 1996 to 2022, Russaudit had been a member of global networks – Baker Tilly International and Crowe Global.

From its offices in Moscow, St. Petersburg, and Nizhny Novgorod the firm offers a wide range of professional services: auditing, asset and business valuation, HR, accounting, and tax consulting, corporate finance and transfer pricing services, accounting outsourcing, and many others.



Russaudit Telegram channel:
Legislative news, cases, and expert commentary in the field of taxation – for chief accountants



Russaudit Website

SPEAKERS



**Mikhail Timonov,
Managing Partner**

BIRCH

Mikhail has been advising companies on business management, corporate law, and corporate conflicts for over 25 years.

Mikhail offers solutions for deal structuring, assists in establishment of joint ventures, and supports corporate reorganizations.

Mikhail's experience covers topics related to real estate, manufacturing, corporate planning, and investment project management at all stages of their life cycle.

Candidate of Legal Sciences
St. Petersburg State University
Herzen State Pedagogical University

M: +7 921 415 0475
mikhail.timonov@birchlegal.ru



**Timur Akhundov
Partner**

BIRCH

Timur's primary focus is international and cross-border transaction support, as well as contractual and legal work. The majority of these transactions are M&A deal and joint ventures.

Timur has extensive experience working with state-owned companies and regulators on a wide range of contractual and regulatory issues.

Timur specializes in working with clients from APEC countries.

Moscow State University for
International Relations
College Universitaire Français

M: +7 926 342 7044
timur.akhundov@birchlegal.ru



**Kudrat Nurmatov,
Managing Partner**

**ink
ADVISORY**

Before founding the firm, Kudrat spent 12 years as one of the co-heads of the M&A practice at Crowe and Baker Tilly firms in Russia (Russaudit).

Kudrat's extensive experience in M&A and corporate finance also includes top-management roles at a private equity fund, a major financial-industrial group, a major bank, and consulting firms.

Work experience includes Russia, Uzbekistan and the USA.

Goizueta Business School
of Emory University

M: +7 963 784 6699
k.nurmatov@ink-advisory.com



**Ruslan Izmailov,
Managing Partner**

**ink
ADVISORY**

Before founding the firm, Ruslan spent 12 years as one of the co-heads of the M&A practice at Crowe and Baker Tilly firms in Russia (Russaudit).

Ruslan's extensive experience in M&A and corporate finance also includes top-management roles in investment banking, commercial banking, and consulting firms.

Work experience includes Russia and Uzbekistan.

Tashkent Financial Institute

M: +7 963 784 6683
r.izmaylov@ink-advisory.com



**Sergey Pushkin
Partner**

РУСАУДИТ

Sergey has been working in the field of consulting and audit since 2004.

Joined Russaudit in 2008, and became the head of transaction support practice in 2019.

Expertise in:
Due Diligence, Fraud&Forensic
Member
of Association Commonwealth –
the self-governing union of Auditors.

Rostov State University

M: +7 963 784 6661
s.pushkin@russaudit.ru